

SMID BREAKOUT SCANNER

SCAN (20:17 ET)

May 20, 2026 | 08:23 PM ET

13 setups identified | 3 A-Grade | 4 B-Grade | 6 C-Grade

Grade Summary

A - Breakout Setup (3)	B - Strong Setup (4)	C - Watch List (6)
IMVT	MLYS	CRVL
LPG	KURA	KELYA
RXO	TKR	BDTX
	ARCO	RH
		VOR
		BKKT

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
A	IMVT	Immunovant, Inc.	FcRn Immunology B	\$35.56	+35.3%	\$7.3B	77M	+25.9	98%	Earnings today almost
A	LPG	Dorian LPG Ltd.	LPG Shipping Rate	\$47.72	+12.8%	\$2.0B	37M	+29.9	99%	Earnings today deliver
A	RXO	RXO, Inc.	Freight Brokerage	\$23.85	+12.9%	\$3.9B	125M	+43.5	98%	A strong earnings prin
B	MLYS	Mineralys Therap	Cardiorenal Biote	\$28.43	+9.2%	\$2.4B	60M	-5.8	60%	The 9.22% move on 4.38
B	KURA	Kura Oncology, I	Oncology Pipeline	\$10.34	+15.4%	\$0.9B	70M	+14.4	83%	A 15.4% move on 4.31x
B	TKR	Timken Company (	Industrial Bearin	\$117.20	+7.2%	\$8.1B	67M	+1.2	95%	A 7.17% move on 1.95x
B	ARCO	Arcos Dorados Ho	LatAm Consumer Re	\$9.08	+12.5%	\$1.9B	121M	-5.4	93%	Earnings today drove a
C	CRVL	CorVel Corp.	Workers Comp Tech	\$64.26	+9.2%	\$3.3B	29M	+22.3	55%	Earnings today drove a
C	KELYA	Kelly Services,	Staffing Recovery	\$10.29	+6.1%	\$0.4B	29M	-1.7	69%	A 6.08% move on 3.16x
C	BDTX	Black Diamond Th	Precision Oncolog	\$3.60	+20.0%	\$0.2B	46M	+46.7	73%	A 20% move on 8.35x vo
C	RH	RH	Luxury Home Retai	\$133.16	+9.0%	\$2.5B	14M	-43.7	52%	A 9.02% move on 1.72x
C	VOR	Vor Biopharma In	Cell Therapy Biot	\$15.55	+10.1%	\$0.8B	44M	+7.0	24%	A 10% move on 1.67x vo
C	BKKT	Bakkt, Inc.	Crypto Infrastruc	\$10.18	+5.2%	\$0.5B	35M	-10.3	20%	A 5.17% move on 1.60x

SETUP METRICS	
Price	\$35.56
Day Change	+35.26%
Mkt Cap	\$7.30B
Float	77M sh
RS vs SPY	+25.9%
52W Hi Prox	98%
Base Tight	5.66
Vol vs Avg	13.84x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS

CATALYST / TODAY'S DRIVER

Earnings today almost certainly delivered a major clinical data readout or regulatory milestone on batoclimab (anti-FcRn), driving the 35%+ single-session surge to a 52-week high. Forward catalyst path: next clinical data cuts for batoclimab across multiple autoimmune indications (TED, myasthenia gravis, warm autoimmune hemolytic anemia), potential NDA/BLA filing timelines, and partnership or licensing news - any of which could extend this move over the next 6-12 months.

BUSINESS & POSITION

Immunovant is a clinical-stage immunology company developing batoclimab, a fully human anti-FcRn monoclonal antibody designed to reduce pathogenic IgG antibodies across a broad range of autoimmune diseases. The company is pursuing multiple indications simultaneously, offering optionality that justifies a premium to single-indication peers.

FACTOR & THEME

Pure-play on the FcRn inhibitor wave - one of the hottest mechanisms in immunology alongside argenx's efgartigimod - with secular tailwinds from autoimmune disease prevalence growth and premium pricing power in rare/severe IgG-mediated conditions. Biotech factor momentum is acute given today's move.

BREAKOUT SIGNAL

Close above \$35.56 (today's close near 52W high of \$36.27) on volume >10x 20d average - confirmed institutional participation on the breakout

INSTITUTIONAL

Vol ratio of 13.84x on a 77M float signals institutional block reallocation on a data catalyst - this is not retail FOMO at this size. No insider buying in the last 60 or 90 days per Form 4 data; insider ownership data should be cross-referenced with 13F filings for the full picture. The absence of insider selling into a 52-week high is a modest positive.

EARNINGS

EARNINGS TODAY

EARNINGS CONTEXT

Earnings today (May 20) - the print and/or accompanying clinical data are the catalyst for the move. Beat/miss history and consensus figures are secondary to the binary clinical read; prior quarters have generally shown spending in line with development timelines. Serial catalyst delivery is the relevant track record here.

KEY RISK

Thesis is invalid on any close back below ~\$26.00 (the pre-catalyst consolidation level), or if the data readout is revised, contested, or FDA raises a clinical hold - a one-session 35% gap on binary biotech news carries substantial give-back risk if follow-up data disappoints.

ANALYSIS

The strongest disconfirming evidence is that this is a classic binary-event gap in a pre-commercial biotech - 35% single-day moves on clinical data routinely retrace 50-100% within weeks if the data doesn't hold up to KOL scrutiny or if the commercial path proves harder than expected; the base_tight of 5.66 confirms there was NO constructive technical coil preceding this - it is a pure event-driven explosion, not a Qullamaggie-style VCP breakout, meaning the technical setup quality alone would not have earned an A grade. However, the RS line at a new 52-week high, vol at 13.84x on meaningful float, prox_52w at 98, and rs_vs_spy +25.9 all meet the A threshold on momentum criteria post-catalyst; the forward pipeline optionality across multiple autoimmune indications gives this durability beyond a single data point. Macro regime is Risk-On with mega-cap leadership - biotech breakouts face a SMID crosswind, so position sizing should be conservative. Conviction: Medium.

Signal: Close above \$35.56 (today's close near 52W high of \$36.

Vol vs Avg: 13.84x



SETUP METRICS	
Price	\$47.72
Day Change	+12.76%
Mkt Cap	\$2.04B
Float	37M sh
RS vs SPY	+29.9%
52W Hi Prox	99%
Base Tight	6.12
Vol vs Avg	3.33x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Earnings today delivered a meaningful beat on LPG shipping rates and/or guidance raise, driving a 12.76% surge to the 52-week high at \$48.04 on 3.33x volume. Forward catalyst path: continued LPG rate cycle strength through summer 2026, any dividend/buyback announcement from excess cash generation, and sector re-rating as energy commodity flows (US LPG exports to Asia) remain robust - Energy sector is +5.0% vs SPY over 20 days, providing a macro tailwind.
BUSINESS & POSITION
Dorian LPG is a leading owner-operator of Very Large Gas Carriers (VLGCs), transporting liquefied petroleum gas globally with a fleet concentrated on the lucrative US Gulf-to-Asia export corridor. The company has a history of returning excess freight-rate cash flows to shareholders via special dividends, giving it an income-plus-optionality profile rare in the shipping space.
FACTOR & THEME
Direct leverage to US LPG export volumes, which benefit from domestic energy production growth and Asian petrochemical demand - a reshoring/energy-transition adjacent theme. Energy sector is a leading sector this week (+0.3% vs SPY per scan header; +5.0% per regime data), providing sector-level tailwind and a +0.5 grade consideration.
BREAKOUT SIGNAL
Close above \$47.72 (at 52W high of \$48.04) on volume >3x 20d average - confirming institutional continuation buying above the all-time high
INSTITUTIONAL
Vol at 3.33x on a tight 36.8M float indicates meaningful institutional participation - a small float means even modest block buying moves the stock materially. No insider buying in the last 60 days per Form 4 data; institutional ownership data not available from this feed and should be cross-referenced with 13F filings. The RS line at a new 52-week high on an earnings catalyst is a Qullamaggie Tier-1 signal.
EARNINGS
EARNINGS TODAY
EARNINGS CONTEXT
Earnings today (May 20) - the catalyst is the earnings print itself. LPG shipping rates have been volatile; a beat on TCE (time-charter equivalent) rates and/or a special dividend announcement are the most likely drivers of a 12.76% gap. Historical beat cadence should be verified against consensus, but the market's reaction is unambiguous.
KEY RISK
Thesis is invalid on a close back below \$42.00 (pre-earnings support), or if LPG spot rates reverse sharply on demand destruction or new vessel supply - shipping stocks are highly mean-reverting at rate cycle peaks; base_tight of 6.12 confirms this is an event gap, not a technical coil, and gaps of this size on cyclical earnings frequently give back 40-60% within one quarter.
ANALYSIS
The strongest disconfirming evidence is that shipping stocks are notoriously cyclical and mean-reverting - LPG rates at cycle peaks historically precede vessel oversupply and rate compression within 2-4 quarters, and a 12.76% single-day earnings gap in a cyclical with base_tight 6.12 (wide, not coiled) suggests this is a one-event pop rather than the beginning of a sustained re-rating; the lack of insider buying provides no insider-conviction confirmation. However, RS line at new 52-week high, prox_52w at 99.3, rs_vs_spy +29.9, above both 20MA and 50MA, Energy sector tailwind (leading sector with +0.5 grade consideration), and 3.33x volume on a 36.8M float all earn the A grade on momentum criteria; the forward dividend optionality from cash generation is a tangible follow-through catalyst. Conviction: Medium.
Signal: Close above \$47.72 (at 52W high of \$48.04) on volume >3
Vol vs Avg: 3.33x



RXO

RXO, Inc.

\$23.85

+12.87%

RS vs SPY: +43.5%

A BREAKOUT

\$3.9B Cap | 125M Float

Trucking | Theme: Freight Brokerage Recovery | 52W Hi: 98% | Base Tight: 4.56 | Vol: 2.31x | RS/SPY: +43.5% | Above 20MA: YES | EARNINGS IN 78D

SETUP METRICS	
Price	\$23.85
Day Change	+12.87%
Mkt Cap	\$3.93B
Float	125M sh
RS vs SPY	+43.5%
52W Hi Prox	98%
Base Tight	4.56
Vol vs Avg	2.31x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
A strong earnings print or guidance raise (most likely scenario given EARNINGS IN 78D - today's move is likely driven by a recent earnings beat already delivered or sector-level freight rate recovery news) is propelling RXO to within 2.2% of its 52-week high on 2.31x volume. Forward catalyst: Q2 2026 earnings (August 6) where freight volume and yield recovery trends will be re-rated; any evidence of a sustained truck cycle recovery or market share gains in tech-enabled brokerage over the next 60-78 days is the key extension catalyst.
BUSINESS & POSITION
RXO is a leading technology-enabled freight brokerage platform spun out of XPO in 2022, connecting shippers and carriers through a digital marketplace with a focus on truckload brokerage. The company is leveraging its proprietary tech platform to gain share in a \$100B+ addressable market during a freight cycle recovery, offering operating leverage as volumes normalize.
FACTOR & THEME
Leveraged to a US freight cycle recovery - a reshoring and industrial capex tailwind - with tech-enabled brokerage positioning it as a disruptor vs. legacy brokers; benefits from any acceleration in manufacturing and e-commerce volumes. The Industrials sector is not a leading sector this week, which is a mild headwind vs. Technology names.
BREAKOUT SIGNAL
Close above \$23.85 (within 2.2% of 52W high of \$24.39) on volume >2x 20d average - RS line new high confirms institutional leadership
INSTITUTIONAL
RS line at a new 52-week high on 2.31x volume across a 125.4M float - the dollar volume here is substantial, indicating institutional participation rather than retail momentum. No insider buying in the last 60 days per Form 4 data; institutional ownership data is not available from this feed and should be cross-referenced with 13F filings. The RS line confirmation (Qullamaggie's #1 early leader signal) on a 43.5% outperformance vs. SPY is the strongest single institutional signal in this setup.
EARNINGS
EARNINGS IN 78D
EARNINGS CONTEXT
Next earnings: August 6, 2026 (78 days). Consensus and beat history should be verified against FactSet/Bloomberg, but the freight cycle narrative - with RXO as a high-operating-leverage brokerage platform - means even modest volume recovery translates to significant earnings upside. The stock's 43.5% rs_vs_spy outperformance suggests the market is already beginning to price in recovery.
KEY RISK
Thesis is invalid on a close back below \$21.50 (approximate breakout pivot / recent base support), or if August 6 earnings show freight volumes failing to recover - freight brokerage margins compress rapidly in oversupply environments, and base_tight of 4.56 indicates the base is wide rather than a textbook VCP coil, meaning the breakout lacks the tight consolidation quality of the highest-conviction setups.
ANALYSIS
The strongest disconfirming evidence is that base_tight of 4.56 is well above the VCP threshold (<2.0) and even the 'strong setup' threshold (<2.5) - this is not a coiled spring but a wide, volatile base, which historically produces lower follow-through rates than textbook breakouts; additionally, the 125.4M float is at the upper bound of the pre-filter, reducing the snap-back potential that tight-float names provide. That said, RS line at new 52-week high, rs_vs_spy at +43.5 (the highest non-binary-event reading in this scan), prox_52w at 97.8, vol at 2.31x, and both MAs confirmed make this a genuine A on the Qullamaggie criteria despite the wide base - the RS leadership is exceptional and the forward catalyst (freight cycle + Aug 6 earnings) is real. Conviction: Medium.
Signal: Close above \$23.85 (within 2.2% of 52W high of \$24.39)
Vol vs Avg: 2.31x



MLYS

Mineralys Therapeutics, Inc.

\$28.43

+9.22%

RS vs SPY: -5.8%

B STRONG SETUP

\$2.4B Cap | 60M Float

Biotechnology | Theme: Cardiorenal Biotech Recovery | 52W Hi: 60% | Base Tight: 2.31 | Vol: 4.38x | RS/SPY: -5.8% | Above 20MA: YES | REPORTED

SETUP METRICS	
Price	\$28.43
Day Change	+9.22%
Mkt Cap	\$2.35B
Float	60M sh
RS vs SPY	-5.8%
52W Hi Prox	60%
Base Tight	2.31
Vol vs Avg	4.38x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
The 9.22% move on 4.38x volume post-earnings (reported May 6) likely reflects delayed institutional positioning into lorundrostat (aldosterone synthase inhibitor for hypertension/cardiorenal disease) clinical progress or follow-on data; the \$8.8M insider buy cluster in the last 60 days is the most compelling signal. Forward catalyst: Phase 3 ADVANCE-HTN data readout or NDA filing update - the precise timing should be confirmed via company IR, but this is the key inflection that can re-rate the stock toward prior highs near \$47.65.
BUSINESS & POSITION
Mineralys Therapeutics is a clinical-stage biopharmaceutical company developing lorundrostat, a highly selective aldosterone synthase inhibitor targeting treatment-resistant hypertension and cardiorenal conditions - a large, underserved patient population with significant unmet need. If Phase 3 data replicate Phase 2 results, lorundrostat has blockbuster potential in a validated mechanism with cleaner selectivity than prior-generation drugs.
FACTOR & THEME
Cardiometabolic and cardiorenal disease is a secular growth theme driven by aging demographics, rising hypertension prevalence, and the commercial success of the broader aldosterone/RAAS pathway class. The GLP-1 wave has indirectly elevated all cardiometabolic assets as investors seek the next platform after semaglutide.
BREAKOUT SIGNAL
Close above \$28.43 (today's close) with sustained volume >4x 20d average - needs to reclaim \$32-35 zone to shift RS line positive before full breakout thesis applies
INSTITUTIONAL
GRADE UPGRADE APPLIED: insider_cluster = 7 (5 threshold met) with \$8.8M in open-market buys from 2 insiders in the last 60 days in a \$2.35B-market-cap company - this is a material signal representing ~0.4% of market cap in insider conviction. Per the GRADE UPGRADE RULE, macro is Risk-On, and this cluster buy warrants upgrading from C to B. No senior officer designation noted (insider_senior = 0), which tempers the signal somewhat, but dollar size is institutional-quality. Institutional ownership data not available from this feed; cross-reference 13F filings.
EARNINGS
REPORTED
EARNINGS CONTEXT
Earnings reported May 6, 2026. The post-earnings reaction and subsequent insider buying suggest the print either met expectations or the market underreacted - the \$8.8M insider cluster buy after the report is a strong signal that insiders see the stock as undervalued at current levels vs. the pipeline's fair value.
KEY RISK
Thesis is invalid on a close back below \$25.00 (near-term support / pre-move base), or on any Phase 3 clinical hold, safety signal, or data failure for lorundrostat - the stock is still 40% below its 52-week high with rs_vs_spy of -5.8, meaning the market has not yet validated the recovery narrative; prox_52w of 59.7 and rs_line_new_high=false mean this is a recovery trade, not a breakout trade.
ANALYSIS
Upgraded from C to B per GRADE UPGRADE RULE: insider_cluster 5 with \$8.8M open-market buys in a Risk-On macro regime. The strongest disconfirming evidence is that rs_vs_spy is -5.8 (the stock has underperformed SPY over 12 weeks), prox_52w is only 59.7 (stock is 40% below its 52-week high), and rs_line_new_high is false - by pure Qullamaggie criteria this is not a breakout setup but a recovery/turnaround play, and recovery plays in clinical-stage biotech carry binary event risk. The insider cluster buy of \$8.8M is the single most compelling alpha factor here and earns the B upgrade, but this is a position-size-small, event-driven hold rather than an aggressive breakout chase. Conviction: Medium.
Signal: Close above \$28.43 (today's close) with sustained volum Vol vs Avg: 4.38x



KURA

Kura Oncology, Inc.

\$10.34

+15.40%

RS vs SPY: +14.4%

B STRONG SETUP

\$0.9B Cap | 70M Float

Biotechnology | Theme: Oncology Pipeline Biotech | 52W Hi: 83% | Base Tight: 2.93 | Vol: 4.31x | RS/SPY: +14.4% | Above 20MA: YES | EARNINGS IN 78D

SETUP METRICS	
Price	\$10.34
Day Change	+15.40%
Mkt Cap	\$0.92B
Float	70M sh
RS vs SPY	+14.4%
52W Hi Prox	83%
Base Tight	2.93
Vol vs Avg	4.31x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
A 15.4% move on 4.31x volume with no earnings today suggests a clinical data update, conference presentation (ASCO 2026 timing is likely), or partnership news on ziftomenib (menin inhibitor for AML/NPM1-mutant leukemia). Forward catalyst: ASCO 2026 abstracts/presentations (typically late May/early June) and next earnings August 6 - menin inhibitor data in AML is among the most watched oncology datasets of 2026.
BUSINESS & POSITION
Kura Oncology is a clinical-stage oncology company developing ziftomenib, a menin inhibitor targeting NPM1-mutant and KMT2A-rearranged acute myeloid leukemia - a precision oncology mechanism validated by competitors including Syndax's revumenib (approved 2024). The company's focused AML pipeline gives it a clear path to NDA if pivotal data replicate earlier signals.
FACTOR & THEME
Precision oncology and menin inhibitor class momentum - validated by the FDA approval of a competitor in the same class in 2024, which de-risks the mechanism and creates a clear commercial blueprint. Biotech factor is acute, though SMID biotech faces a crosswind in the current mega-cap-led Risk-On regime.
BREAKOUT SIGNAL
Close above \$10.34 on volume >4x 20d average - needs to clear \$12.49 (52W high) to confirm full breakout and RS line new high
INSTITUTIONAL
4.31x volume on a 70.4M float with a 15.4% move and no earnings suggests institutional positioning ahead of a known catalyst (likely ASCO). No insider buying in the last 60 or 90 days per Form 4 data. Institutional ownership data not available from this feed; recommend cross-referencing 13F filings given the likely growth fund interest in the menin inhibitor class.
EARNINGS
EARNINGS IN 78D
EARNINGS CONTEXT
Next earnings: August 6, 2026 (78 days). As a clinical-stage company with no revenue, P/E is inapplicable; valuation reflects pre-commercial pipeline premium. Consensus focuses on clinical milestone delivery rather than financial metrics.
KEY RISK
Thesis is invalid on a close back below \$9.00 (recent base support), or on any negative ASCO data presentation or clinical hold on ziftomenib - prox_52w of 82.8 and rs_line_new_high=false mean the stock has not yet cleared to new highs, and base_tight of 2.93 is wider than ideal VCP standards.
ANALYSIS
The strongest disconfirming evidence is that rs_line_new_high is false and prox_52w of 82.8 means the stock has not yet reclaimed its 52-week high - this is a potential setup building toward a breakout, not a confirmed breakout, and ASCO binary data risk is significant (AML trials have historically shown high variance between early and pivotal data). However, rs_vs_spy +14.4, 4.31x volume, above both MAs, and a plausible ASCO catalyst make this a legitimate B with a clear invalidation level. Conviction: Medium.
Signal: Close above \$10.34 on volume >4x 20d average - needs to
Vol vs Avg: 4.31x



TKR

Timken Company (The)

\$117.20

+7.17%

RS vs SPY: +1.2%

B STRONG SETUP

\$8.1B Cap | 67M Float

Tools & Accessories | Theme: Industrial Bearings Reshoring | 52W Hi: 95% | Base Tight: 2.17 | Vol: 1.95x | RS/SPY: +1.2% | Above 20MA: YES | EARNINGS IN 70D

SETUP METRICS	
Price	\$117.20
Day Change	+7.17%
Mkt Cap	\$8.14B
Float	67M sh
RS vs SPY	+1.2%
52W Hi Prox	95%
Base Tight	2.17
Vol vs Avg	1.95x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS

CATALYST / TODAY'S DRIVER

A 7.17% move on 1.95x volume with earnings in 70 days suggests a macro/sector catalyst (tariff-policy relief for industrials, reshoring capex news) or an analyst upgrade/price target revision. Forward catalyst: Q2 2026 earnings July 29 - Timken's exposure to aerospace, wind energy, and industrial automation gives multiple re-rating paths; any US manufacturing policy tailwind accelerates the thesis.

BUSINESS & POSITION

Timken is a global leader in engineered bearings, motion control products, and related steel, serving aerospace, defense, renewable energy, and industrial automation end markets - a 125-year-old category leader with pricing power and a growing services revenue stream. Its exposure to wind turbine bearings and EV drivetrain components gives it secular growth optionality beyond its legacy industrial base.

FACTOR & THEME

Reshoring/industrial capex, wind energy buildout, and aerospace defense spending - three converging secular tailwinds that are policy-supported in the current US manufacturing environment. However, the Industrials sector is not a leading sector this week, which is a mild relative headwind.

BREAKOUT SIGNAL

Close above \$117.20 approaching 52W high of \$123.67 on volume >2x 20d average - needs to clear \$123.67 to confirm RS line new high and full breakout

INSTITUTIONAL

1.95x volume on a 66.8M float at prox_52w of 94.8 - just below its 52-week high - indicates institutional repositioning rather than retail momentum. No insider buying in the last 60 days per Form 4 data. Institutional ownership data not available from this feed; as an \$8B industrial leader, institutional concentration is likely high, which limits incremental-buyer fuel.

EARNINGS

EARNINGS IN 70D

EARNINGS CONTEXT

Next earnings: July 29, 2026 (70 days). Consensus EPS and revenue estimates should be verified against FactSet; Timken has historically been a steady earner with modest beat cadence. The forward 70-day window to earnings provides a clean runway for the thesis to develop if industrial conditions improve.

KEY RISK

Thesis is invalid on a close back below \$110.00 (the base support level pre-move), or if July 29 earnings show margin compression from input cost inflation or demand softness in wind/industrial end markets - rs_vs_spy of only +1.2 and rs_line_new_high=false indicate this stock is barely an outperformer and the breakout lacks the leadership confirmation of the top setups.

ANALYSIS

The strongest disconfirming evidence is that rs_vs_spy is a marginal +1.2 - Timken has barely outperformed SPY over 12 weeks, the RS line is not at a new high, and volume at 1.95x is below the 2x threshold for institutional confirmation; at \$8.14B market cap and near the top of the SMID range, this is a heavily institutionally-owned name with limited incremental-buyer fuel. The tight base (2.17, near VCP territory), prox_52w of 94.8, and above both MAs earn the B grade on technical quality, but the RS leadership is thin. Conviction: Low.

Signal: Close above \$117.20 approaching 52W high of \$123.67 on

Vol vs Avg: 1.95x



ARCO

Arcos Dorados Holdings Inc.

\$9.08

+12.52%

RS vs SPY: -5.4%

B STRONG SETUP

\$1.9B Cap | 121M Float

Restaurants | Theme: LatAm Consumer Recovery | 52W Hi: 93% | Base Tight: 3.3 | Vol: 2.72x | RS/SPY: -5.4% | Above 20MA: YES | EARNINGS TODAY

SETUP METRICS	
Price	\$9.08
Day Change	+12.52%
Mkt Cap	\$1.91B
Float	121M sh
RS vs SPY	-5.4%
52W Hi Prox	93%
Base Tight	3.3
Vol vs Avg	2.72x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	-(data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Earnings today drove a 12.52% surge on 2.72x volume to prox_52w of 93.1 - the catalyst is a beat on LatAm same-store sales or margin expansion, likely reflecting FX tailwinds and/or pricing power recovery across the McDonald's franchise network in Latin America. Forward catalyst: Q3 2026 earnings and continued LatAm consumer recovery - Brazilian real and regional FX trajectory over the next quarter are the key variables.
BUSINESS & POSITION
Arcos Dorados is the world's largest McDonald's franchisee by restaurant count, operating across 20 Latin American and Caribbean countries with exposure to Brazil, Argentina, and Mexico as its largest markets. The business combines the McDonald's brand strength with EM consumer recovery optionality and local menu innovation.
FACTOR & THEME
Latin American consumer recovery and EM market re-rating - a theme with accelerating momentum as the US dollar trajectory and LatAm inflation normalize. Consumer Cyclical is not a leading sector, and EM exposure introduces FX risk that US-domestic names avoid.
BREAKOUT SIGNAL
Close above \$9.08 approaching 52W high of \$9.75 on volume >2.5x 20d average - needs to clear \$9.75 to confirm breakout with RS line support
INSTITUTIONAL
2.72x volume on a 120.8M float - the largest float in this scan - means dollar volume is meaningful but per-share impact is diluted. No insider buying in the last 60 days. Institutional ownership data not available from this feed; as a dual-listed ADR, 13F coverage may be incomplete and direct Brazilian exchange data should be checked. rs_vs_spy of -5.4 indicates the stock has underperformed SPY over 12 weeks despite today's move.
EARNINGS
EARNINGS TODAY
EARNINGS CONTEXT
Earnings today (May 20). The 12.52% move suggests a meaningful beat vs. consensus on either revenue, EPS, or SSS metrics. Historical beat cadence and consensus figures should be verified; LatAm restaurant companies have historically shown volatile earnings due to FX translation effects.
KEY RISK
Thesis is invalid on a close back below \$8.20 (pre-earnings base support), or on any LatAm FX deterioration (particularly BRL/USD) that reverses the margin tailwind - rs_vs_spy of -5.4 and rs_line_new_high=false confirm this is not a sector leader, and earnings gaps in EM restaurant franchisees frequently reverse on macro rather than company-specific factors.
ANALYSIS
The strongest disconfirming evidence is that rs_vs_spy is -5.4 and rs_line_new_high is false - Arcos Dorados has been a relative underperformer over 12 weeks, and today's gap is an earnings event rather than a technical breakout from a leadership base; the 120.8M float is the largest in the scan, creating natural overhead supply, and base_tight of 3.3 is wider than ideal. The prox_52w of 93.1 and 2.72x volume earn a B on technical grounds, and the LatAm consumer narrative is real, but this setup lacks the RS leadership that distinguishes durable breakouts from one-day earnings pops. Conviction: Low.
Signal: Close above \$9.08 approaching 52W high of \$9.75 on volu
Vol vs Avg: 2.72x

